

**DEPARTMENT OF ECONOMICS**

**MACROECONOMICS (ECN 1215) MAY 2017**

**TUTORIAL SHEET 5**

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1. You are given this account for a bank:

| ASSETS   |        | LIABILITIES |        |
|----------|--------|-------------|--------|
| Reserves | K500   | Deposits    | K3,500 |
| Loans    | K3,000 |             |        |

The required reserve ratio is 10 percent.

- a) How much is the bank required to hold as reserves given its deposits of K3,500?
  - b) How much are its excess reserves?
  - c) By how much can the bank increase its loans?
  - d) Suppose a depositor comes to the bank and withdraws K200 in cash. Show the bank's new balance sheet, assuming the bank obtains the cash by drawing down its reserves. Does the bank now hold excess reserves? Is it meeting the required reserve ratio? If not, what can it do?
2. Chileshe has just coned his father Mr. Mulenga out of K9,000. He deposits the entire K9,000 in National Bank Ltd. Assuming a required reserve ratio of 20%,
- a) Calculate the deposit and credit multiplier
  - b) If National Bank and all the other commercial banks in the country are profit maximizing banks which do not keep excess reserves, by how much will credit grow in the economy as a result of Chileshe's deposit of K9,000?
  - c) If the manager of National Bank decided to become risk averse and instead keeps 50% of the deposits made by Chileshe as reserves. What will the excess reserves be?
  - d) What impact will the manager's decision to keep excess reserves have on money supply?
3. What are the causes of demand pull inflation?

4. Illustrate demand push inflation on a graph
5. What are the main causes of cost push inflation?
6. Illustrate cost push inflation on a well labelled graph
7. Differentiate the following:
  - a) Hyperinflation and Stagflation
  - a) Anticipated and Unanticipated inflation
8. In Zambia, over 90% of the firms import their raw materials in the production of goods and services. There have been occasions in the past when OPEC (Organisation of the Petroleum Exporting Countries) cut the supply of oil to increase the price per barrel. In view of this, many analysts have advocated for alternative sources of oil to avoid the inflation associated with the reduction in the supply of oil.
  - a) What type of inflation is associated with the cut in the supply of oil?
  - b) Draw a clearly labelled diagram illustrating the inflation above and explain.
  - c) List and explain any other two factors that may cause the inflation above.
  - d) List one effect of inflation and explain.
9. There have been cries in Zambia over the years by civil servants for an increase in their wages due to the erosion of their purchasing power. In view of this, with the help of trade union, the government of the Republic of Zambia in 2013 awarded a pay rise. However, many analysts argued that the pay rise unmatched by a rise in output would lead to inflation.
  - a) What type of inflation could this move cause?
  - b) Draw a clearly labelled diagram illustrating the inflation above and explain
  - c) List two other factors that may cause the inflation above
  - d) List one effect of inflation and explain?